

ARTICLE

THE UNEQUAL EFFECTS OF PARTISANSHIP ON BRANDS

The risks and rewards are as varied as the political viewpoints.

by Vikas Mittal, Ashwin Malshe, and Shrihari Sridhar

As an increasing number of executives use their company soapboxes to espouse values unrelated to the businesses they run, they must think carefully about how their actions align with the attitudes of their customers. Companies that engage in corporate activism risk taking stances that reflect the values of their management but alienate key segments of a politically divided customer base.

And customers are more divided than ever. In 2004, 49% of Americans held a mix of conservative and liberal positions, according to the Pew Research Center; in 2017, only 32% did. From 1994 to 2017, the average partisan gap increased from 15 points to 36 points. That partisanship carries over to brands, our research and others' suggests, as more and more consumers prefer to spend their dollars on brands that align with their political values.

To better understand how political polarization affects brands, we surveyed 5,881 retail customers with strong political ideologies (Democrats and Republicans) and rated their likelihood to engage in positive and negative word-of-mouth for 45 retail brands. Brands that had a higher-than-average percentage of customers likely to engage in positive word-of-mouth were deemed ***secure***. Those that had a higher-than-average percentage of customers likely to say negative things about them were deemed ***vulnerable***. Brands with some customers likely to be positive and others likely to be negative were deemed ***dissonant***. Those whose customers were unlikely to say anything — positive or negative — were deemed ***inert***. (See "The Politics of Brands" for how the companies stacked up.)

Next we mapped those results according to respondents' political affiliations. We found a relatively low level of agreement between Democrats and Republicans, with their classifications matching for only 16 out of the 45 brands. For example, Apple, Starbucks, and Amazon were ***secure*** among Democrats, garnering high positive and low negative chatter. This is not surprising, since many of the activist stances taken by those companies align with attitudes associated with Democrats: Since Tim Cook took the helm at Apple, for example, he has publicly spoken

The Politics of Brands

To gauge how partisanship affects brand reputation, we surveyed nearly 8,000 customers who have strong political leanings, asking how likely they were to say good things or bad things—or nothing at all—about 45 retail brands and 38 B2B brands. Here's how the companies stacked up.

Customers are likely to engage in:	Secure	Vulnerable	Dissonant	Inert
	Mostly positive word-of-mouth	Mostly negative word-of-mouth	Positive and negative word-of-mouth	Very little word-of-mouth

DEMOCRATS AND REPUBLICANS HOLD OPPOSING VIEWS

RETAIL	Company	Democrat	Republican
	Dollar Tree	Secure	Vulnerable
	Dollar General	Vulnerable	Secure
	Gap	Vulnerable	Secure
	Rite Aid	Vulnerable	Secure
	Whole Foods Market	Vulnerable	Secure

B2B	Company	Democrat	Republican
	Coca-Cola	Vulnerable	Secure
	McKesson	Vulnerable	Secure

DEMOCRATS AND REPUBLICANS HOLD THE SAME VIEWS

RETAIL	Company	Democrat	Republican
	7-Eleven	Dissonant	Dissonant
	Ahold Delhaize	Dissonant	Dissonant
	Ashley HomeStore	Dissonant	Dissonant
	H-E-B Grocery	Dissonant	Dissonant
	Nordstrom	Dissonant	Dissonant
	Walmart	Dissonant	Dissonant
	Sears Holdings	Inert	Inert
	Aldi	Secure	Secure
	Costco	Secure	Secure
	Kroger	Secure	Secure
	Lowe's	Secure	Secure
	Meijer	Secure	Secure
	Publix	Secure	Secure
	TJX Companies	Secure	Secure
	Best Buy	Vulnerable	Vulnerable
	Signet	Vulnerable	Vulnerable

B2B	Company	Democrat	Republican
	Bank of America	Dissonant	Dissonant
	ConocoPhillips	Dissonant	Dissonant
	ExxonMobil	Dissonant	Dissonant
	MetLife	Dissonant	Dissonant
	BP	Inert	Inert
	Occidental Petroleum	Inert	Inert
	Schlumberger	Inert	Inert
	Halliburton	Secure	Secure
	HP	Secure	Secure
	Microsoft	Secure	Secure
	Oracle	Secure	Secure
	W.W. Grainger	Secure	Secure
	Xerox	Secure	Secure
	Aramark	Vulnerable	Vulnerable
	Cardinal Health	Vulnerable	Vulnerable
	Jacobs	Vulnerable	Vulnerable
	Kinder Morgan	Vulnerable	Vulnerable
	Royal Dutch Shell	Vulnerable	Vulnerable

DEMOCRATS AND REPUBLICANS HOLD VARIOUS VIEWS

RETAIL	Company	Democrat	Republican
	Mattress Firm	Inert	Dissonant
	J.C. Penney	Dissonant	Secure
	Kohl's	Dissonant	Secure
	Academy Sports + Outdoors	Secure	Dissonant
	Ace Hardware	Secure	Dissonant
	Amazon.com	Secure	Dissonant
	Apple Store/iTunes	Secure	Dissonant
	Dillard's	Secure	Dissonant
	Starbucks	Secure	Dissonant
	Target	Secure	Dissonant
	The Home Depot	Secure	Dissonant
	Verizon Wireless	Dissonant	Vulnerable
	Albertsons Companies	Vulnerable	Dissonant
	AT&T Mobility	Vulnerable	Dissonant
	Gallery Furniture	Vulnerable	Dissonant
	Macy's	Vulnerable	Dissonant
	Star Furniture	Vulnerable	Dissonant
	Walgreens Boots Alliance	Vulnerable	Dissonant
	CVS Caremark	Inert	Secure
	Giant Eagle	Inert	Secure
	Ross Stores	Inert	Secure
	Bed Bath & Beyond	Secure	Inert
	PetSmart	Secure	Inert
	Wakefern	Inert	Vulnerable

B2B	Company	Democrat	Republican
	Alphabet	Dissonant	Inert
	Murphy Oil	Dissonant	Inert
	Anadarko Petroleum	Inert	Dissonant
	3M	Dissonant	Secure
	Cisco Systems	Dissonant	Secure
	PepsiCo	Dissonant	Secure
	UPS	Dissonant	Secure
	IBM	Secure	Dissonant
	Sunoco	Secure	Dissonant
	Sysco	Dissonant	Vulnerable
	Dell	Inert	Secure
	Cameron	Secure	Inert
	FedEx	Secure	Inert
	Chevron	Inert	Vulnerable
	Comcast	Inert	Vulnerable
	Dresser-Rand	Vulnerable	Inert
	Phillips 66	Vulnerable	Inert
	Valero Energy	Vulnerable	Inert

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out against religious freedom laws, casting them as discriminatory. In 2016 Starbucks chose not to use explicitly Christian messaging on its holiday cups, and in 2017, CEO Howard Schultz announced the company's intention to hire 10,000 refugees. Amazon CEO Jeff Bezos granted $33 million in college scholarships to undocumented immigrant high school graduates with DACA status. Among Republicans, however, those three brands were ***polarized***, garnering both high positive and high negative chatter, suggesting that while these consumers may not like the companies' politics, they value the products and services these companies offer.

These categorizations matter. When we looked at the relative increase or decrease in same-store sales compared with the previous period for each of the retailers for which public data was available, we found that some categories do better than others:

Average Change in Same-Store Sales

- Secure: +2.4%
- Inert: +1.6%
- Dissonant: +0.5%
- Vulnerable: -3.1%

We also surveyed 2,064 business-to-business buyers, who rated 38 supplier brands. We found more agreement in the B2B space than in retail — Democrats and Republicans agreed on 47% of the brands examined — but we still encountered plenty of divergent views.

Consider Coca-Cola. The brand is valued by Republicans and is considered by some to be a symbol of American patriotism. And Coke's political contributions have tilted in favor of Republicans over Democrats. Our survey shows how this bears out among customers: The brand is ***secure*** among Republicans but ***vulnerable*** among Democrats. Exxon, by contrast, has called for a carbon tax, a liberal-leaning position. But the company also

is seen as a major financial supporter of government policies that maintain or expand drilling activities. Not surprisingly, it is ***dissonant*** among customers of both political leanings.

As was the case with retailers, we found that B2B companies' brand classification had clear implications for financial performance. When we analyzed quarterly earnings per share (EPS) and sales growth for the B2B brands, we found that:

Average EPS

- Secure: $0.66
- Inert: $0.53
- Dissonant: $0.25
- Vulnerable: $0.19

Average Sales Growth

- Secure: 9.02%
- Inert: 7.97%
- Vulnerable: 6.61%
- Dissonant: 4.54%

So what does this mean for executives considering taking an activist stance? Our data suggests that they should think carefully about customers' political affiliations and likelihood to engage in positive and negative word-of-mouth. Actions that push brands into vulnerable or dissonant territory are likely to hurt revenue and growth. Staying out of the political fray allows companies to avoid the risk of alienating customers, but may result in only modest financial performance. It takes a long time for companies to build successful brands, and mega brands have both Republican and Democrat customers. Failure to understand how corporate activism may affect their attitudes is a mistake. ■

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